

Apex Manufacturing — Procurement Policy

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1. Purpose and Scope

This policy governs the procurement of all materials, components, and services used in manufacturing operations at Apex Manufacturing. It applies to all purchase orders, supplier agreements, and procurement decisions across all product lines and facilities.

2. Approved Supplier Requirements

All procurement must be from suppliers listed on the Approved Supplier List (ASL). The ASL is maintained by the Quality Assurance department and reviewed quarterly. Suppliers that have been removed from the ASL may not be used under any circumstances, regardless of pricing or availability.

2.1 Supplier Certification

Suppliers of electronic components, printed circuit boards, and safety-critical parts must hold current ISO-9001 certification. Suppliers of power supply components (capacitor banks, transformer cores) must additionally hold UL listing certification. Certification status is verified annually.

3. Domestic Sourcing Preference

Apex Manufacturing prefers domestic (United States and Canada) suppliers for all components. International suppliers may be used when: (a) no domestic supplier can meet required delivery timelines, (b) the domestic price premium exceeds 35% of the international price, or (c) the component is not available from any domestic source. Justification for international sourcing must be documented in the purchase order rationale.

Note: For components classified as 'critical' (defined in Section 6), the domestic price premium threshold is 50% rather than 35%.

4. Supplier Concentration Limits

To mitigate supply chain risk, no single supplier may account for more than 70% of the total volume of any critical component within a rolling 12-month period. For non-critical components, the concentration limit is 85%. The procurement team must maintain at least two qualified suppliers for every critical component.

Exception: Where only one supplier exists globally for a specialized component (sole-source), a Sole Source Justification must be documented in the purchase order rationale.

4.1 Minimum Order Quantities

Purchase orders must meet the supplier's stated minimum order quantity (MOQ). Orders below MOQ require written supplier approval.

5. Hazardous Materials

All hazardous materials (as classified in the component database) require special receiving and handling procedures and must be stored in the designated Hazmat Storage area. Orders for hazardous materials should be flagged for procurement review, as these materials are subject to additional receiving requirements that may extend delivery timelines. FIFO (First In, First Out) rotation is strictly enforced.

6. Critical Components

The following component categories are classified as critical: microcontroller ICs, power MOSFETs, PCB blanks, neodymium magnets, and all sensor ICs (temperature, pressure, humidity). Critical components are subject to enhanced sourcing requirements including tighter concentration limits (Section 4) and higher domestic price premium thresholds (Section 3).

7. Budget and Cost Controls

All procurement decisions must consider total cost of ownership, including unit price, shipping, and handling costs. Orders exceeding \$50,000 require Procurement Manager approval. Orders exceeding \$150,000 require VP of Operations approval.

7.1 Emergency Procurement

Emergency purchase orders (required to prevent production stoppage) may bypass standard approval thresholds up to \$75,000, but must be documented with a rationale and approved retroactively within 5 business days.

8. Sustainability Requirements

When selecting between suppliers with comparable pricing (within 10%) and delivery timelines (within 5 business days), preference should be given to suppliers with a sustainability rating of A or higher. Suppliers with a sustainability rating below B are subject to additional review and should only be used when no alternatives are available.

Suppliers holding ISO-14001 certification receive preferential consideration.

9. Strategic Supplier Relationships

Suppliers designated as 'Strategic' tier represent key long-term partnerships. The procurement team should maintain consistent order volumes with Strategic suppliers to preserve relationship stability, even when short-term alternatives offer moderately better pricing (up to 15% savings). Decisions to shift significant volume away from Strategic suppliers require VP of Operations approval.

10. Shipping and Lead Times

Purchase orders should be placed with sufficient lead time to ensure materials arrive before the scheduled production start date. The supplier catalog lists standard lead times for each component. International suppliers typically ship via ocean freight; expedited air freight may be authorized by management memo when schedule demands require it. The expected delivery date on each purchase order must reflect the supplier's quoted lead time from the date of order.